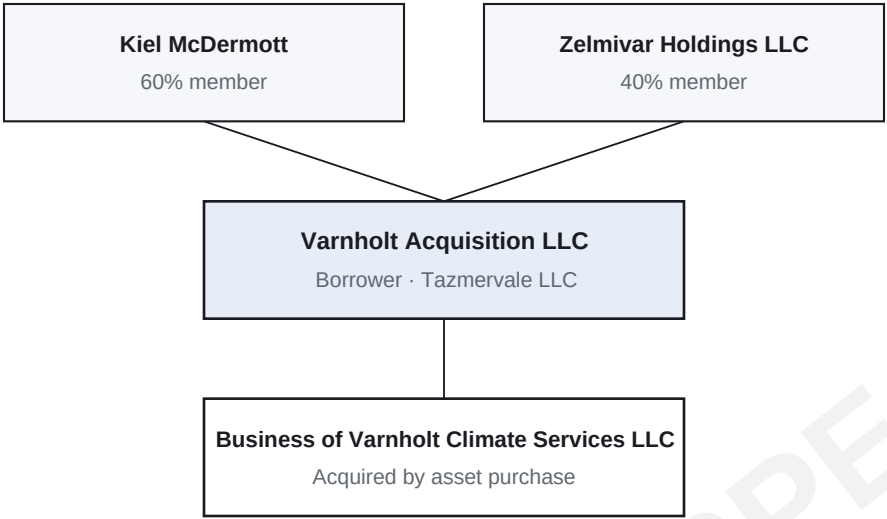


Ownership Chart

Varnholt Acquisition LLC — ownership after closing



Ownership table

| Owner                 | Interest |
|-----------------------|----------|
| Kiel McDermott        | 60%      |
| Zelmivar Holdings LLC | 40%      |

Every person who owns 20% or more of the borrower, directly or indirectly, guarantees the loan and provides a personal financial statement.

Financial Projections

Three-year projected income statement — Varnholt Acquisition LLC  
Prepared by management for the SBA 7(a) application · Not reviewed by an accountant

|                                                | Year 1      | Year 2      | Year 3      |
|------------------------------------------------|-------------|-------------|-------------|
| Revenue                                        | \$1,456,000 | \$1,512,000 | \$1,568,000 |
| Cost of goods sold                             | \$655,000   | \$680,000   | \$706,000   |
| Gross profit                                   | \$801,000   | \$832,000   | \$862,000   |
| Operating expenses (including buyer salary)    | \$553,000   | \$575,000   | \$596,000   |
| EBITDA                                         | \$248,000   | \$257,000   | \$266,000   |
| Annual debt service (SBA loan and seller note) | \$287,400   | \$287,400   | \$287,400   |
| Debt service coverage ratio                    | 0.86x       | 0.89x       | 0.93x       |

Key assumptions

- Revenue grows 4% in year 1 from retained customers and 4% a year after that from price increases.
- Gross margin holds at 55%, in line with the last three years of the business.
- Operating expenses include a market salary for the buyer as general manager.
- Debt service assumes a 10-year SBA 7(a) term at 10.5% and no seller note payments while on standby.